

Value Recognition Criteria Module (VRCM)

VRCM — Value Recognition Criteria Module

Architecture Ecosystem: Structured Reality Standards™

Architecture Family: VFM® — Value Flow Mechanisms Architecture

Parent Standard: Value Recognition Standard (VRS)

Module: VRCM — Value Recognition Criteria Module

Operational Layer: Value Recognition Criteria Layer

Category: Governance & Enforcement

Subcategory: Value Lifecycle Governance

Type: Core Module

Governed Space: Value Recognition Criteria

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Canonical Language: UCL — Universal Canonical Language

Canonical Definition

Value Recognition Criteria Module (VRCM) is the first Core Module of the Value Recognition Standard (VRS) within VFM® — Value Flow Mechanisms Architecture.

VRCM governs the explicit criteria under which already existing value may become eligible for formal recognition within a defined value governance context.

The Module establishes what conditions must be satisfied before an existing value can proceed toward a governed recognition determination.

Its purpose is not to determine whether value exists.

Value existence has already been established through the preceding Value Emergence Standard (VES).

VRCM asks the next question:

What must be true for that existing value to become eligible for recognition within this specific context?

This creates a controlled methodological boundary between:

Existing Value → Recognition Eligibility

Architectural Position

VRCM operates within the fourth governed space of the VFM® lifecycle:

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development / Value Degradation → Value Nullification → Value Restoration / Value Extinction

Within Value Recognition, VRCM is the entry module.

It receives an established existing value from the preceding lifecycle stage and establishes the recognition criteria against which that value can subsequently be assessed.

Internal Module Flow

Existing Value → VRCM — Value Recognition Criteria → VRBM — Value Recognition Basis → VRDM — Value Recognition Determination → VRLM — Value Recognition Limitation → VRRM — Value Recognition Record → Recognized Value

VRCM therefore governs the rules of recognition before recognition is decided.

Operational Space

VRCM governs the identification, definition, structuring, applicability, and documentation of criteria used to determine whether existing value is eligible for recognition.

Recognition criteria may concern:

relevance; materiality; beneficiary relationship; purpose relationship; contextual applicability; usability; accessibility; capability contribution; operational contribution; economic contribution; strategic contribution; resource contribution; temporal relevance; measurable effect; attributable benefit; cost avoidance; efficiency contribution; capability preservation; future utility where the context permits it.

The criteria used depend upon the value context established under the Value Context Standard (VCXS).

VRCM does not impose one universal definition of valuable.

It governs how the recognition criteria must be made explicit.

Recognition Criteria Principle

Value recognition must not occur through an undefined intuition that something is “valuable.”

A recognition system must be capable of identifying the criteria under which recognition is possible.

The methodological relationship is:

Existing Value + Defined Recognition Context + Applicable Recognition Criteria → Recognition Eligibility

Without explicit criteria, recognition becomes difficult to compare, reproduce, challenge, govern, or automate.

Context-Specific Recognition

Recognition criteria are context-dependent.

A capability may satisfy recognition criteria for one purpose while failing them for another.

For example, a proprietary dataset may have:

high operational relevance

but

no current collateral recognition.

A technological capability may have:

strategic value recognition

without

current accounting recognition.

A reduction in energy consumption may satisfy:

operational efficiency recognition criteria

without automatically satisfying:

financial asset recognition criteria.

These are not contradictions.

They are different recognition contexts.

VRCM makes those contexts explicit.

Recognition Criteria ≠ Value Existence

VRCM enforces a critical architectural distinction:

Failure to satisfy recognition criteria does not establish that value does not exist.

It establishes only that the value does not currently satisfy the defined criteria for recognition within the specified context.

Therefore:

Existing Value + Criteria Not Satisfied → Unrecognized Existing Value

not:

Criteria Not Satisfied → No Value

This distinction protects the VFM® lifecycle from allowing external recognition systems to redefine value existence.

Recognition Criteria ≠ Value Measurement

Recognition criteria establish whether value may qualify for recognition.

They do not necessarily quantify how much value exists.

For example:

Does this capability materially reduce operational resource consumption?

may be a recognition criterion.

Determining the magnitude of that value is a different governance question.

Therefore:

Recognition Eligibility ≠ Value Magnitude

Recognition Criteria ≠ Market Price

Market price may be relevant to a particular recognition context.

It is not a universal recognition criterion.

Value may exist and be recognized even where:

no market exists; no transaction has occurred; no price has been established; the value is internally consumed; the value consists of avoided cost; the value represents preserved capability; the value benefits a public system rather than a buyer; the value cannot presently be exchanged.

VFM® therefore does not reduce recognition to monetization.

Recognition Criteria Structure

A governed recognition criterion should identify, where relevant:

Criterion Identity → What criterion is being applied?

Recognition Context → Within what context does it apply?

Value Relationship → What characteristic or effect of the existing value does it examine?

Beneficiary Relationship → For whom or what is the value relevant?

Threshold or Condition → What must be demonstrated?

Applicability → To which value objects or situations does the criterion apply?

Temporal Condition → For what period does the criterion remain relevant?

Exclusions → What does the criterion explicitly not establish?

This creates recognition criteria that can be interpreted independently of the person or system that originally created them.

Recognition Eligibility

VRCM may establish recognition eligibility states such as:

Eligible

The existing value satisfies the applicable criteria sufficiently to proceed toward recognition determination.

Conditionally Eligible

The criteria are satisfied only under explicitly defined conditions.

Insufficiently Established

The available basis does not yet establish whether the criteria are satisfied.

Not Eligible in Context

The existing value does not satisfy the applicable recognition criteria within the defined context.

These are recognition-governance states.

They are not statements about whether the underlying value exists.

Multiple Recognition Contexts

The same existing value may be assessed simultaneously against multiple recognition criteria frameworks.

For example:

Operational Recognition Criteria → Eligible

Strategic Recognition Criteria → Eligible

Financial Recognition Criteria → Conditionally Eligible

Collateral Recognition Criteria → Not Eligible

This enables VFM® to represent value without forcing all institutions and systems to adopt one universal recognition model.

The value remains one governed value.

Its recognition relationships may be multiple.

Criteria Stability and Change

Recognition criteria may change over time.

Changes may result from:

organizational priorities; technology;

operational conditions; available capabilities; resource scarcity; market conditions; institutional requirements; new knowledge; beneficiary needs; environmental conditions.

VRCM requires material criteria changes to remain distinguishable from changes in the underlying value.

Therefore:

Recognition Criteria Change $\neq$ Value Change

A value may remain unchanged while its eligibility for recognition changes.

Machine-Readable Recognition

Explicit recognition criteria create an important foundation for machine-readable value governance.

A machine-readable implementation may represent:

Value ID $\rightarrow$ Recognition Context ID $\rightarrow$ Criterion Set $\rightarrow$ Criterion Conditions $\rightarrow$ Eligibility State

$\rightarrow$ Recognition Basis

$\rightarrow$ Recognition Determination

This can allow different systems to determine not merely whether something has been labelled valuable, but why it is eligible for recognition within a particular context.

Boundary with Value Emergence

The Value Emergence Standard (VES) determines when potential value becomes existent value.

VRCM begins only after value existence has been established.

Therefore:

VES: Does the value exist?

VRCM: What criteria must that existing value satisfy to become eligible for recognition here?

Emergence $\neq$ Recognition Eligibility

Boundary with Value Recognition Basis

VRCM establishes the criteria that must be satisfied.

VRBM — Value Recognition Basis Module governs the basis used to demonstrate or support satisfaction of those criteria.

Therefore:

Criteria → What must be demonstrated

Basis → What supports the assessment

This separation prevents criteria from being silently rewritten according to whatever information happens to be available.

Boundary with Value Recognition Determination

VRCM does not issue the final recognition determination.

It establishes the criteria against which that determination will later be made.

VRDM — Value Recognition Determination Module governs the actual determination.

Therefore:

Criteria ≠ Determination

Minimum Implementation Framework

A minimum VRCM implementation should establish:

1. Existing Value Reference

Identify the existing value entering recognition governance.

2. Recognition Context

Define the context within which recognition is being considered.

3. Recognition Purpose

Identify why recognition is required.

4. Applicable Criteria

Define the criteria that must be satisfied.

5. Criterion Meaning

Specify what each criterion actually tests.

6. Applicability Conditions

Define where each criterion applies.

7. Thresholds or Conditions

Establish any relevant threshold, condition, or qualifying requirement.

8. Exclusions

Identify what satisfying the criterion does not establish.

9. Eligibility Assessment

Determine whether the value is eligible to proceed through the recognition process.

10. Criteria Record

Preserve the applicable criteria and eligibility state for downstream recognition governance.

Governance Outputs

VRCM may produce:

Value Recognition Criteria Set Recognition Context Record Recognition Purpose Statement Recognition Criterion
Record Recognition Applicability Record Recognition Threshold Record Recognition Exclusion Record Recognition
Eligibility Assessment Recognition Eligibility State Value Recognition Criteria Record

These outputs provide the governed input for VRBM — Value Recognition Basis Module.

Use Case 1 — Banking and Enterprise Capability

A bank evaluates a technology company containing significant operational capabilities, proprietary datasets, specialized systems, intellectual resources, and internal infrastructure.

Some of these resources may generate existing value even though conventional accounting or collateral systems do not recognize them in the same manner.

VRCM allows the bank to establish explicit criteria for a particular analytical context.

For strategic enterprise assessment, the criteria might examine whether a capability:

materially contributes to revenue generation; reduces operating cost; creates defensible capability; can continue producing benefit; contributes materially to future operations.

A capability may satisfy those criteria and become:

Eligible for Strategic Value Recognition

without automatically becoming:

Recognized Accounting Asset

or:

Eligible Collateral.

The bank can therefore govern multiple forms of recognition without confusing them with one another.

Use Case 2 — Space Mission Resource

Optimization

A space organization introduces a mission-planning capability that reduces fuel requirements, simulation workload, engineering time, hardware testing, or mission risk.

The organization wants to determine whether these effects should be recognized as value within its mission-efficiency framework.

VRCM can define criteria such as:

measurable resource reduction; preserved mission capability; avoided operational expenditure; increased mission capacity; reduced engineering workload; improved resource utilization.

If the existing benefit satisfies the criteria, it may proceed as:

Eligible Mission-Efficiency Value

for formal recognition.

This does not determine its market price, accounting treatment, or tax consequence.

It establishes that the existing value meets the defined criteria for recognition within the mission context.

Enterprise Application

VRCM enables organizations to replace implicit value recognition with explicit recognition logic.

This can support banking, investment, government, infrastructure, industrial operations, AI systems, energy systems, scientific programs, public administration, digital ecosystems, and resource optimization.

Its deeper importance is methodological.

Two organizations may disagree about whether they recognize the same value.

With VRCM, that disagreement can be decomposed into:

different contexts → different criteria → different eligibility outcomes

rather than being reduced to an undefined disagreement over whether something “has value.”

That makes value recognition more transparent, comparable, auditable, interoperable, and machine-readable.

Foundational Principles

Value recognition requires explicit criteria.

Recognition criteria do not create value.

Failure to satisfy recognition criteria does not prove absence of value.

Recognition criteria are context-specific, not universally absolute.

Recognition eligibility is not value magnitude.

Market price is not a universal recognition criterion.

Different recognition contexts may legitimately produce different recognition outcomes for the same existing value.

A change in recognition criteria does not necessarily represent a change in value.

Canonical Closing Statement

Value Recognition Criteria Module establishes the first governed control point within the Value Recognition Standard by defining the explicit criteria under which already existing value may become eligible for recognition within a specified context. By separating value existence from recognition eligibility, recognition criteria from recognition basis, and recognition eligibility from final recognition determination, VRCM prevents institutional, financial, market, technological, or organizational recognition systems from silently becoming definitions of

value itself. It enables recognition decisions to become explicit, contextual, comparable, traceable, interoperable, and machine-readable while preserving the foundational VFM® distinction that value may exist independently of whether any particular system chooses or is able to recognize it.

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Governed Links

→ [Value Recognition Standard \(VRS\)](#).

→ VFM® Architecture Map

→ Next: Value Recognition Basis Module (VRBM)

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